



# MEMORANDUM

CN - No. 2020-0104

## THE PHILIPPINE STOCK EXCHANGE, INC.

- |                                             |                                                            |
|---------------------------------------------|------------------------------------------------------------|
| <input type="checkbox"/> Trading            | <input type="checkbox"/> Public Advisory                   |
| <input type="checkbox"/> Disclosure         | <input type="checkbox"/> Administrative/Technology Matters |
| <input checked="" type="checkbox"/> Listing | <input type="checkbox"/> Others:                           |

**TO :** ALL LISTED COMPANIES AND THE INVESTING PUBLIC

**SUBJECT :** AMENDMENTS TO THE VOLUNTARY DELISTING RULES

**DATE :** December 21, 2020

Please be advised that the Securities and Exchange Commission ("SEC") approved the amendments to the PSE Voluntary Delisting Rules.

The salient provisions of the amended Voluntary Delisting Rules are, as follows:

### 1. Required Approvals

The delisting must be approved by:

- At least two-thirds (2/3) of the entire membership of the Board, including the majority, but not less than two, of all of its independent directors; and
- Stockholders owning at least two-thirds (2/3) of the total outstanding and listed shares of the listed company.

Further, the number of votes cast against the delisting proposal should not be more than ten percent (10%) of the total outstanding and listed shares of the listed company.

### 2. Tender Offer Price

The minimum tender offer price shall be the higher of:

- The highest valuation based on the fairness opinion or valuation report prepared by an independent valuation provider in accordance with SRC Rule 19.2.6; or
- Volume weighted average price of the listed security for one year immediately preceding the date of posting of the disclosure of the approval by the Company's Board of Directors of the Company's delisting from the Exchange.

|                           |    |     |     |    |                                      |                |     |     |
|---------------------------|----|-----|-----|----|--------------------------------------|----------------|-----|-----|
|                           |    |     |     |    |                                      |                |     |     |
| CMDD                      | FD | IRD | MOD | TD | HRD / RISK / SU                      | CCD / FMD / AD | OGC | COO |
| Tel. No.: (632) 8876-4888 |    |     |     |    | E-mail Address: investing@pse.com.ph |                |     |     |

A copy of the amended Voluntary Delisting Rules is attached as Annex "A".

The amended Voluntary Delisting Rules shall take effect immediately.

For your information and guidance.

*(Original Signed)*

**Ramon S. Monzon**

*President and CEO*

|                           |    |     |     |    |                                                                                |                |     |     |
|---------------------------|----|-----|-----|----|--------------------------------------------------------------------------------|----------------|-----|-----|
|                           |    |     |     |    |                                                                                |                |     |     |
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## VOLUNTARY DELISTING

**SECTION 1.** A Listed Company may not apply for voluntary delisting if involuntary delisting proceedings have already been initiated.

**SECTION 2.** The Exchange will allow the delisting of the security upon petition of the Listed Company if all of the following are complied with:

- (a) The delisting is approved by at least two-thirds (2/3) of the entire membership of the Board, including the majority, but not less than two, of all of its independent directors, and stockholders owning at least two-thirds (2/3) of the total outstanding and listed shares of the Company. Further, the number of votes cast against the delisting proposal should not be more than ten percent (10%) of the total outstanding and listed shares of the Listed Company.

For purposes of these rules, "outstanding and listed shares" shall mean the listed voting shares of stock, whether common or preferred, issued under binding subscription contracts to subscribers or stockholders, whether fully or partially paid, except treasury shares.

The stockholders shall cast their votes either in person or by proxy in a duly convened stockholders' meeting, or when so authorized in the Listed Company's by-laws, through remote communication, voting in absentia or written assent.

- (b) All security holders must be notified, in the manner and within the period provided in the Company's by-laws, of the meeting at which the proposed delisting will be submitted for stockholders' approval. If stockholders' vote will be obtained through remote communication, voting in absentia or by written assent, the Listed Company shall give all stockholders at least two (2) weeks to cast their votes or submit their written assent or dissent.
- (c) A petition for delisting must be filed with the Exchange together with the tender offer report at least sixty (60) days prior to the date when delisting shall become effective.
- (d) A tender offer to all stockholders of record must be made. The Listed Company must submit a fairness opinion or valuation report, stating the fair value or range of fair

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values of the listed security, based upon certain procedures followed and assumptions made. The minimum tender offer price shall be the higher of:

- i. The highest valuation based on the fairness opinion or valuation report prepared by an independent valuation provider in accordance with SRC Rule 19.2.6; or
- ii. Volume weighted average price of the listed security for one year immediately preceding the date of posting of the disclosure of the approval by the Company's Board of Directors of the Company's delisting from the Exchange.

If the Listed Company has been under suspension for one year or more as of the disclosure of the aforementioned Board approval, then the tender offer price shall be the highest valuation based on the fairness opinion or valuation report prepared by an independent valuation provider.

- (e) The person(s) proposing the delisting must show to the Exchange that following the acquisition of the tendered shares, said person(s) have obtained a total of at least ninety-five percent (95%) of the issued and outstanding shares of the Listed Company. However, if at the time the petition for delisting is filed, the person(s) proposing the delisting are already the beneficial owners of ninety-five percent (95%) or more of the issued and outstanding shares of the Listed Company, said person(s) shall still be required to make a tender offer to all other stockholders of record.
- (f) The Listed Company applying for delisting must not have any unpaid fees or penalties due to the Exchange.
- (g) The Listed Company must pay the voluntary delisting fee equivalent to its annual listing maintenance fee for the year when the petition for voluntary delisting was filed.

**SECTION 3.** The Exchange may impose appropriate condition/s for the protection of investors before delisting is allowed.

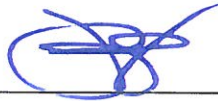
**SECTION 4.** In the event that an issuer seeks the listing of a security that was once voluntarily delisted, the same shall be treated as a new listing. The relisting prohibition under Involuntary Delisting Rules will not apply.

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**THE PHILIPPINE STOCK EXCHANGE, INC.:**



**RAMON S. MONZON**  
President and CEO



**ROEL A. REFRAN**  
Chief Operating Officer

**SECURITIES AND EXCHANGE COMMISSION:**



**VICENTE GRACIANO P. FELIZMENIO, JR.**  
Director

Markets and Securities Regulation Department

